

HOUSE BILL No. 1273

DIGEST OF INTRODUCED BILL

Citations Affected: IC 24-4-27.5.

Synopsis: Requirements for proxy advisors. Provides that if a proxy advisor makes a recommendation against entity management on an entity proposal or proxy proposal, or makes a default recommendation or policy concerning votes against entity management on entity proposals or proxy proposals, and the proxy advisor does not do so based on a written financial analysis, the proxy advisor shall do the following: (1) At the time the proxy advisor provides the proxy advisory services, provide a clear and conspicuous disclosure to each interest holder or any person acting on behalf of an interest holder, receiving the proxy advisory services, that: (A) identifies the services being provided by the proxy advisor; (B) identifies the recommendation at issue; and (C) states that the proxy advisor has made the recommendation without utilizing a written financial analysis regarding the impact that the recommended action would have on entity interest holders. (2) If the proxy advisor provides certain proxy advisory services, then at the time the proxy advisor provides the proxy advisory services, the proxy advisor must provide to entity management the disclosure provided to each interest holder or any person acting on behalf of an interest holder receiving the proxy advisory services. (3) For the entire time that a proxy advisor is providing proxy advisory services to an interest holder of an entity or any person acting on behalf of an interest holder of an entity, prominently display on the home page of the proxy advisor's website a statement that the proxy advisor has made a recommendation: (A) against entity management on an entity proposal or proxy proposal; and (B) without utilizing a written financial analysis regarding the impact that the recommended action would

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Effective: July 1, 2026.

Pierce K

January 6, 2026, read first time and referred to Committee on Financial Institutions.



have on entity interest holders. Provides that if a proxy advisor makes a recommendation against entity management on an entity proposal or proxy proposal, or makes a default recommendation or policy concerning votes against entity management on entity proposals or proxy proposals, and the proxy advisor does so based on a written financial analysis, the proxy advisor shall do the following: (1) At the time the proxy advisor provides the proxy advisory services, provide a clear and conspicuous disclosure to each interest holder or any person acting on behalf of an interest holder, receiving proxy advisory services, that: (A) identifies the services being provided by the proxy advisor; (B) identifies the recommendation at issue; (C) states that the proxy advisor utilized a written financial analysis regarding the impact that the recommended action would have on entity interest holders in making the recommendation; and (D) states that the written financial analysis is available upon request. (2) Make the written financial analysis available to an interest holder or any person acting on behalf of an interest holder, receiving the proxy advisory services within a reasonable time after an interest holder or any person acting on behalf of an interest holder, receiving the proxy advisory services requests the written financial analysis. (3) If the proxy advisor provides certain proxy advisory services, then at the time the proxy advisor provides the proxy advisory services, the proxy advisor must provide a copy of the written financial analysis to entity management.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1273

A BILL FOR AN ACT to amend the Indiana Code concerning trade regulation.

Be it enacted by the General Assembly of the State of Indiana:

1 SECTION 1. IC 24-4-27.5 IS ADDED TO THE INDIANA CODE
2 AS A **NEW** CHAPTER TO READ AS FOLLOWS [EFFECTIVE
3 JULY 1, 2026]:

4 **Chapter 27.5. Proxy Advisors**
5 **Sec. 1. As used in this chapter, "default recommendation or**
6 **policy" means a system, set of rules, principles, or guidelines**
7 **designed to assist with voting decisions on any entity proposals or**
8 **proxy proposals.**

9 **Sec. 2. (a) As used in this chapter, "entity" means a:**
10 **(1) business corporation (as defined in IC 23-0.5-1.5-3);**
11 **(2) general partnership (as defined in IC 23-0.5-1.5-13),**
12 **including a limited liability partnership (as defined in**
13 **IC 23-0.5-1.5-21);**
14 **(3) limited partnership (as defined in IC 23-0.5-1.5-22); or**
15 **(4) limited liability company (as defined in IC 23-0.5-1.5-20).**



(b) The term does not include:

- (1) an individual;
- (2) a business trust, a trust with a predominately donative purpose, or a charitable trust;
- (3) an association or relationship that:
 - (A) is not listed in subsection (a); and
 - (B) is not a partnership under the rules stated in IC 23-4-1-7 or a similar provision of the law of another jurisdiction;
- (4) a decedent's estate; or
- (5) a government or a governmental subdivision, agency, or instrumentality.

Sec. 3. As used in this chapter, "entity management" means an individual or group of individuals that actively oversee and direct an entity's activities, resources, and personnel to accomplish the entity's objectives.

Sec. 4. As used in this chapter, "entity proposal" means any proposal made by an entity to its interest holders that is included in the entity's proxy statement, including director nominations or elections or any proposal relating to director nominations or elections, executive compensation, corporate transactions, corporate structure, auditor selection, or entity policy on any subject.

Sec. 5. As used in this chapter, "interest" means:

- (1) a share in a business corporation (as defined in IC 23-0.5-1.5-3); or
- (2) a governance interest or economic interest in any other type of unincorporated entity.

Sec. 6. As used in this chapter, "interest holder" means a direct holder of an interest in an entity.

Sec. 7. As used in this chapter, "proxy advisor" means a person who, for compensation, provides a proxy advisory service to interest holders of an entity or to other persons with authority to vote on behalf of interest holders of an entity.

Sec. 8. As used in this chapter, "proxy advisory service" means any of the following services that are provided in connection with an entity or are provided to any person in Indiana:

- (1) Advice or a recommendation on how to vote on an entity proposal or proxy proposal.
- (2) Proxy statement research and analysis regarding an entity proposal or proxy proposal.
- (3) Development of proxy voting recommendations or policies,



including establishing default recommendations or policies.

Sec. 9. As used in this chapter, "proxy proposal" means any proposal made by an interest holder of an entity that is included in the entity's proxy statement, including a proposal relating to any of the subjects that could be covered by an entity proposal.

Sec. 10. As used in this chapter, "written financial analysis" means a written document that:

- (1) analyzes the expected short term and long term financial benefits and costs to an entity of implementing an entity proposal or proxy proposal;
- (2) concludes what vote or course of action is most likely to positively affect interest holder value; and
- (3) explains the methods and processes used to prepare the analysis, including the experience and geographic location of the personnel who formed the conclusion.

Sec. 11. (a) If a proxy advisor makes a recommendation against entity management on an entity proposal or proxy proposal, or makes a default recommendation or policy concerning votes against entity management on entity proposals or proxy proposals, and the proxy advisor does not do so based on a written financial analysis, the proxy advisor shall do the following:

(1) At the time the proxy advisor provides the proxy advisory services, provide a clear and conspicuous disclosure to each interest holder or any person acting on behalf of an interest holder receiving the proxy advisory services that:

- (A) identifies the services being provided by the proxy advisor;
- (B) identifies the recommendation or policy at issue; and
- (C) states that the proxy advisor has made the recommendation or policy without utilizing a written financial analysis regarding the impact that the recommended action would have on entity interest holders that:

- (i) analyzes the expected short term and long term financial benefits and costs to the entity of implementing the entity proposal or proxy proposal;
- (ii) concludes what vote or course of action is most likely to positively affect interest holder value; and
- (iii) explains the methods and processes used to prepare the analysis, including the experience and geographic location of the personnel who formed the conclusion.

(2) If the proxy advisor provides proxy advisory services



described in section 8(1) or 8(2) of this chapter, then at the time the proxy advisor provides the proxy advisory services described in section 8(1) and 8(2) of this chapter, the proxy advisor must provide the disclosure described in subdivision (1) to entity management.

(3) For the entire time that a proxy advisor is providing proxy advisory services to an interest holder of an entity or any person acting on behalf of an interest holder of an entity, prominently display on the home page of the proxy advisor's website a statement that the proxy advisor has made a recommendation:

(A) against entity management on an entity proposal or proxy proposal; and

(B) without utilizing a written financial analysis regarding the impact that the recommended action would have on entity interest holders that:

(i) analyzes the expected short term and long term financial benefits and costs to the entity of implementing the entity proposal or proxy proposal;

(ii) concludes what vote or course of action is most likely to positively affect interest holder value; and

(iii) explains the methods and processes used to prepare the analysis, including the experience and geographic location of the personnel who formed the conclusion.

(b) If a proxy advisor makes a recommendation against entity management on an entity proposal or proxy proposal, or makes a default recommendation or policy concerning votes against entity management on entity proposals or proxy proposals, and the proxy advisor does so based on a written financial analysis, the proxy advisor shall do the following:

(1) At the time the proxy advisor provides the proxy advisory services, provide a clear and conspicuous disclosure to each interest holder or any person acting on behalf of an interest holder receiving the proxy advisory services that:

(A) identifies the services being provided by the proxy advisor;

(B) identifies the recommendation or policy at issue;

(C) states that the proxy advisor utilized a written financial analysis that:

(i) analyzes the expected short term and long term financial benefits and costs to the entity of implementing the entity proposal or proxy proposal;



(ii) concludes what vote or course of action is most likely to positively affect interest holder value; and

(iii) explains the methods and processes used to prepare the analysis, including the experience and geographic location of the personnel who formed the conclusion; and

(D) states that the written financial analysis described in clause (C) is available upon request.

(2) Make the written financial analysis described in subdivision (1)(C) available to an interest holder or any person acting on behalf of an interest holder, receiving the proxy advisory services within a reasonable time after an interest holder or any person acting on behalf of an interest holder, receiving the proxy advisory services requests the written financial analysis.

(3) If the proxy advisor provides proxy advisory services described in section 8(1) or 8(2) of this chapter, then at the time the proxy advisor provides the proxy advisory services described in section 8(1) and 8(2) of this chapter, the proxy advisor must provide a copy of the written financial analysis described in subdivision (1)(C) to entity management.

Sec. 12. (a) As used in this section, "interested person" means:

(1) a recipient of proxy advisory services provided by a proxy advisor;

(2) an entity that is the subject of proxy advisory services described in section 8(1) or 8(2) of this chapter provided by a proxy advisor; and

(3) any interest holder of an entity that is the subject of proxy advisory services described in section 8(1) or 8(2) of this chapter provided by a proxy advisor.

(b) A proxy advisor who violates any provision of this chapter commits a deceptive act which is actionable under IC 24-5-0.5 and subject to the penalties of IC 24-5-0.5.

(c) Notwithstanding subsection (b), an interested person may bring an action seeking a declaratory judgment or injunctive relief against a proxy advisor who the interested person believes has violated this chapter. Not later than seven (7) days after the date on which an interested person brings an action under this subsection, the interested person shall provide written notice to the attorney general that informs the attorney general of the existence of the action. The attorney general has the right to intervene in an action under this subsection.

